

Financial Analysis of United, JetBlue, SkyWest

Harshita, Ingrid, Kirtana, Sabrina, Yoojin

Executive Summary

Section 1: Business Model Comparison

I. Revenue Driver Comparison

Although United, JetBlue, and SkyWest are all airline-related companies, they monetize different parts of the aviation **value chain** with different **scales**.

United Airlines is a global network airline: it uses aircraft, crews, hub airports, route rights, premium cabins, cargo capacity, regional feed, and the MileagePlus loyalty ecosystem to **sell passenger transportation at a global scale**. Its core revenue model is primarily **capacity × utilization × yield**, but the mix is diversified across domestic, international, cargo, ancillary, and loyalty-linked channels.

JetBlue is also a **passenger airline**, but its model is narrower and more **directly exposed to domestic and regional market fluctuations**. It primarily operates in air transportation services, offering a customer-experience-differentiated product alongside its TrueBlue loyalty program and Paisly travel products. However, unlike United, JetBlue lacks a deep global corporate/premium network. While supporting revenue streams (e.g., TrueBlue loyalty) provide incremental benefits, they do not change the core model: JetBlue directly bears the full risk of passenger demand, fare pricing, fuel volatility, labor, maintenance, and aircraft utilization.

SkyWest is structurally different: it is primarily an **outsourced regional capacity provider** for United, Delta, American, and Alaska Airlines. Under capacity purchase agreements (CPAs), SkyWest operates regional flights while major airline partners control pricing, ticketing, and network decisions. SkyWest is compensated through a combination of fixed monthly aircraft payments and production-based payments tied to completed flights, block hours, departures, aircraft in service, and contract performance metrics. Under CPAs, its partners also (a) directly pay or reimburse certain direct costs such as fuel, landing fees, and airport rents and (b) compensate SkyWest for aircraft ownership costs, with the structure intended to cover either aircraft principal and interest debt service or depreciation and interest expense while the aircraft is under contract.

Thus, in revenue terms, United and JetBlue sell seats to end customers; SkyWest sells contracted regional production to major airlines.

II. Expense Structure Comparison

In general, passenger airlines operate on a **mixed expense structure**: they have high operating leverage because aircraft ownership, leases, airport facilities, crews, and network infrastructure create a **large fixed-cost base**. At the same time, **fuel**, maintenance, airport fees, and **parts of labor expense vary with flight activity**. Therefore, a passenger airline typically carries high PP&E / lease-related assets and high depreciation or rent expense.

United and **JetBlue** both run aircraft-heavy passenger networks, so both carry direct airline cost risk. **Fuel, labor, maintenance, airport rent, regional capacity purchases, aircraft ownership, and depreciation** matter. In particular, the two largest input categories of **jet fuel** and unionized **labor** introduce volatility in distinct ways: fuel drives continuous, commodity-linked P&L swings, while labor under the Railway Labor Act creates discrete, step-function jumps when CBAs are amended. The key difference is scale and revenue quality. **United** has **more scale** and premium/international revenue to absorb these costs; **JetBlue** has **less scale and less pricing power**, so the same fixed-cost logic is more damaging when demand weakens. It is not an ultra-low-cost carrier like Spirit, but it also lacks United's corporate, premium, and international network depth. That leaves JetBlue in the middle.

SkyWest's expense base is different: It is more protected from direct passenger-yield and fuel volatility because its CPA partners generally retain much of that exposure. But SkyWest still bears labor, maintenance, aircraft utilization, depreciation, and financing risk. Thus, its key issue is not fare competition; it is whether it can secure

the pilots, maintenance capacity, and aircraft financing required to support its contracted block-hour production. This is why SkyWest can show higher and more stable margins than the other two.

Section 2: Key Financials Comparison

I. Cross-sectional view (2025)

All three companies have December fiscal year-ends, so FY2025 provides a clean cross-sectional comparison.

Revenue Scale: United is the largest of the three by a wide margin. United generated **\$59.1B of operating revenue**, reflecting its scale as a global network airline with diversified streams (domestic, international, premium, cargo, etc). **JetBlue's \$9.1B revenue** is smaller, aligning with its narrower scope as a hybrid passenger carrier concentrated in more competitive leisure and coastal markets. **SkyWest's \$4.1B revenue** is the smallest as it operates as a B2B capacity provider under CPAs rather than a direct-to-consumer airline.

Margin Profile: Although SkyWest has the smallest revenue base, it has the strongest margin profile of 15.2% EBIT margin and 10.5% net income margin as its CPA model reduces direct exposure to passenger yield and fuel volatility. **United's margins (EBIT 8.0%, Net income 5.7%) are lower than SkyWest's** because United bears full passenger demand, fuel, labor, and network risk. **JetBlue is the outlier:** despite revenue more than twice SkyWest's, it generated negative EBIT and negative net income.

Valuation: The current valuation reflects that dispersion. As of 04/30/26 close, **United's \$29.21B market cap** reflects its scale and absolute earnings power, while **SkyWest's \$3.26B market cap** is higher than **JetBlue's \$1.73B** despite its smaller revenue base. Therefore, JetBlue's current multiple of 21.8x NTM EV/EBITDA is not a quality premium. It reflects depressed EBITDA and high enterprise value relative to weak current earnings. By contrast, United at 6.0x and SkyWest at 5.0x screen more reasonable because their earnings bases are more durable.

II. Time-series view (2022-2025)

Revenue Growth Trend: **United and SkyWest both delivered strong revenue growth**, with 2022–2025 revenue CAGRs of c.9.5% and c.10.5%, respectively. However, the shape of the recovery was different. United's growth was **front-loaded**: revenue rose sharply in 2023 as post-COVID demand normalized, then slowed to 6.2% in 2024 and 3.5% in 2025. That means United has moved from recovery growth to mature growth. SkyWest's growth was **back-loaded**: revenue fell in 2023 because captain availability constrained block-hour production, then accelerated 20.2% in 2024 and 15.0% in 2025 as utilization recovered. JetBlue's trend is the weakest (negative 3-year revenue CAGR): revenue rose in 2023 but declined in both 2024 and 2025, showing that its post-COVID recovery plateaued and reversed.

Margin Trend: **United's EBITDA and net margins improved after 2022** as post-COVID demand normalized and fixed costs were absorbed by higher traffic, but the easy operating leverage phase appears to be ending. United's EBITDA margin improved from 10.7% in 2022 to 13.6% in 2024, then declined to 13.2% in 2025. The business remains profitable, but **incremental margin expansion is becoming harder** as labor, fuel, maintenance, and fleet-related costs absorb more of the revenue growth. SkyWest's EBITDA margin **improved from 19.9% in 2022 to 24.4% in 2025**, with **the 2023 weakness** tied to production constraints rather than structural demand weakness. As captain availability improved and block hours recovered, SkyWest was able to spread labor, maintenance, depreciation, and aircraft ownership costs across higher contracted production. JetBlue's margin profile **remained weak and volatile (3–4% range with 2024 recording -0.1%)**. On a net income basis, United improved from 1.6% to 5.7%, SkyWest improved from 2.4% to 10.5%, while JetBlue deteriorated from -4.0% to -6.6%.

Balance Sheet Health: **United's** assets grew from \$67.4B at year-end 2022 to \$76.4B at Q4 2025, while liabilities were roughly flat-to-down and equity more than doubled from \$6.9B to \$15.3B. We believe this reflects a positive version of an asset-heavy airline model: fleet investment continued, but retained earnings rebuilt equity and improved financial flexibility. **SkyWest's** balance sheet improved with less asset expansion. Its asset base was broadly stable, while liabilities declined and equity increased. **JetBlue** is the negative version: assets increased

from \$13.0B to \$16.6B at Q4 2025, while liabilities rose from \$9.5B to \$14.5B, and equity fell from \$3.6B to \$2.1B. JetBlue's asset growth was not supported by earnings; losses eroded the equity cushion while the balance sheet remained heavily levered.

Section 3: Panel Approach with Key Ratios (ROA, ROE) Comparison

In this section, we analyze **ROA and ROE** using the following framework: first, **whether the assets are producing adequate returns**; second, **whether the financing structure improves or weakens common shareholder returns**. ROA is calculated as adjusted income over average assets (*5 quarter average*), adding back after-tax interest (*corporate tax rate 21%*) because assets are financed by both debt and equity. ROA is then decomposed into ROA margin and total asset turnover. For ROE, we use two approaches: first, ROE as adjusted $ROA \times \text{capital structure ratio} \times \text{common earnings leverage}$; second, the traditional DuPont framework.

I. ROA: How "efficiently" are the assets performing?

Overview: Cross-sectionally, SkyWest has the strongest FY2025 ROA at 7.09%, followed by United at 5.84%, while JetBlue remains negative at -0.82%. United and SkyWest are both producing positive returns on the asset base, while JetBlue is not. **SkyWest's FY2025 ROA of 7.09%** improved sharply from the FY2023 trough of 1.92%. United's ROA also improved materially from 3.11% in FY2022 to 5.84% in FY2025, although it peaked in FY2024 (6.11%). JetBlue's ROA remained negative in every year, meaning its asset base did not generate positive economic returns even after adjusting for interest.

To **decompose ROA**, **United's ROA** recovery came primarily from **margin improvement** rather than asset turnover. Its ROA margin rose from 4.76% in FY2022 to 7.51% in FY2025, while total asset turnover improved more modestly from 0.65x to 0.78x. This fits United's business model. A global network airline has large fixed assets, but once demand returns, scale and premium/international mix allow more revenue to flow through the existing network. The slight FY2025 ROA decline suggests the easy post-COVID operating leverage phase is ending, with fuel, labor, and fleet costs beginning to cap incremental returns.

JetBlue has the weakest asset efficiency. Its ROA margin improved from the FY2024 trough but remained negative at -1.52% in FY2025. More importantly, total asset turnover deteriorated from 0.68x in FY2022 to 0.54x in FY2025. In other words, JetBlue is carrying an aircraft-heavy asset base, but **each dollar of assets is producing less revenue and still no profit**. This aligns with the business-model issue. JetBlue lacks United's scale and network depth, while also lacking SkyWest's contract protection. As a result, aircraft ownership, labor, maintenance, and network costs weigh heavily when revenue softens. JetBlue's FY2025 results reinforce this point: operating revenue declined 2.3% year over year, capex and predelivery deposits remained significant at \$1.1bn, and management continues to rely on JetForward initiatives to restore profitability.

SkyWest's ROA shows the highest-quality improvement. ROA margin rose from 4.69% in FY2023 to 12.59% in FY2025, while total asset turnover improved from 0.41x to 0.56x. This means SkyWest **improved on both dimensions**: better margin and better asset utilization. As SkyWest's 2023 weakness was caused by a production bottleneck from pilot/captain availability, as block-hour production recovered, the same aircraft base generated more contracted revenue under CPAs. SkyWest's 2025 release supports this: the company reported 14.7% block-hour growth, and Q4 2025 revenue increased 8% YoY with higher fleet utilization.

II. ROE: How "efficiently" is the firm financed?

Overview: Cross-sectionally, United has the highest FY2025 positive ROE at 24.56%, followed by SkyWest at 16.61% and JetBlue at -25.33%.

Decomposition 1 ($ROE = ROA \times \text{Capital Structure Ratio} \times \text{Common Earnings Leverage Ratio}$)

United's ROE is supported by a higher capital structure ratio of 5.57x, while SkyWest's is 2.80x. United can support more leverage than SkyWest because it has a larger and more diversified asset base, stronger absolute

earnings power, and deeper capital-market access. United's asset base includes aircraft, airport slots/gates, route authorities, and the MileagePlus loyalty franchise. United has also disclosed that many of these assets are pledged under financing arrangements. Therefore, United's higher leverage is not automatically low-quality leverage. It is partly a rational use of balance-sheet capacity. The trend also improved: United's capital structure ratio declined from **14.09x in FY2022 to 5.57x in FY2025**, while common earnings leverage improved from **0.34x to 0.76x**. This means United's ROE is becoming less dependent on a thin post-COVID equity base and more supported by actual earnings recovery. **JetBlue's ROE is less useful as an efficiency metric** because the first-order issue is negative asset return. The problem is not merely how the company is financed; the asset base itself is not producing positive returns. The capital structure ratio increased from **3.75x in FY2022 to 7.07x in FY2025**, but because ROA remained negative, leverage magnified losses. **SkyWest's ROE rose from 1.56% in FY2023 to 16.61% in FY2025**, while the capital structure ratio declined from **3.13x to 2.80x** and common earnings leverage improved from **0.42x to 0.84x**. SkyWest did not need higher leverage to improve shareholder returns. Instead, ROE improved because margins recovered, asset utilization improved, and financing burden became less dilutive to common shareholders.

Decomposition 2 (ROE = Net income margin × Total asset turnover × Equity multiplier; DuPont formula)

In FY2025, United generated a 5.67% net income margin, 0.78x asset turnover, and a 5.57x equity multiplier, resulting in a 24.55% ROE. United does not have the highest margin in the group, but it has the **highest asset turnover** because its global network generates substantial passenger revenue relative to its asset base. Its ROE is also supported by leverage. Importantly, United's equity multiplier declined from 14.09x in FY2022 to 5.57x in FY2025, meaning ROE is becoming less dependent on a thin post-COVID equity base and more supported by actual earnings recovery. Therefore, United's ROE is strong, but still more cyclical and leverage-supported than SkyWest's. **In FY2025, JetBlue** had a -6.64% net income margin, 0.54x asset turnover, and a 7.07x equity multiplier, resulting in a -25.33% ROE. The problem is not only that JetBlue is unprofitable. The problem is that its **asset turnover also declined from 0.68x in FY2022 to 0.54x in FY2025**, while its equity multiplier increased from 3.75x to 7.07x. This means JetBlue is carrying more leverage against an asset base that is producing less revenue and still generating losses. In FY2025, SkyWest generated the highest net income margin in the group at 10.55%, with 0.56x asset turnover and the lowest equity multiplier at 2.80x, resulting in a 16.61% ROE. SkyWest's ROE improvement also came from better fundamentals: net margin expanded from 2.43% in FY2022 to 10.55% in FY2025, while asset turnover improved from 0.41x to 0.56x. This reflects a contract-backed regional capacity model: margins are stronger because passenger yield and fuel risk are partly shifted to major airline partners, while leverage remains controlled. Its aircraft assets are heavy, but the revenue numerator is limited to CPA flight operations and aircraft lease revenue rather than the full passenger ticket economics. Therefore, SkyWest naturally screens as a lower-turnover business.

Section 4: Final Investment Recommendation and Prospects

We recommend **Buy ratings on both SkyWest and United**, with SkyWest as our preferred Buy, and a **Sell rating on JetBlue**. **SkyWest** offers the most attractive quality-adjusted risk-reward profile: it trades at a lower forward EV/EBITDA multiple than United while generating the strongest margins, cleaner leverage, and more visible contracted revenue through capacity purchase agreements. Its CPA model with major airline partners structurally insulates it from the fuel and yield volatility that defines the rest of the industry, and management has consistently used cash flow to repay debt while still investing in fleet growth tied to signed contracts. **United** remains a Buy because of its scale, global network, premium/international exposure, MileagePlus economics, and improving balance sheet, but its earnings remain more exposed to fuel, labor, and passenger demand cyclicity. Its global network, premium cabin strength, and rebuilt balance sheet now allow it to absorb shocks that smaller carriers cannot, even with a near-term fuel surge clouding 2026 earnings. **JetBlue** is the clear Sell because it combines negative profitability, declining asset turnover, rising leverage, and insufficient evidence that JetForward can restore sustainable returns. It has produced losses for four consecutive years, and the high-coupon debt issued in 2024 to fund its turnaround has narrowed the runway rather than widened it.

JetBlue (Quarterly Analysis)

(1) Business Model

JetBlue Airways Corp. is a U.S.-based airline serving the United States, Caribbean, Latin America, Canada, and the U.K., operated as a single reportable segment (air transportation services). Analytically, JetBlue must first be framed as an asset-heavy aircraft operator rather than a generic transportation company: economics are driven by how effectively aircraft capacity is converted into passenger revenue, captured by $ASM \times \text{load factor} \times \text{yield}$. In terms of positioning, JetBlue does not have the unit-cost advantage of a true ULCC like Spirit and lacks the global corporate, premium, and international network depth of a legacy carrier like United. It occupies a middle position: differentiated product, customer experience, TrueBlue loyalty, and Northeast/Florida/Caribbean/Latin America concentration, supported by a cost base that becomes punitive when demand softens. Management is executing the JetForward multi-year transformation, which, according to management disclosures, generated approximately \$90 million of incremental EBIT cumulatively through year-end 2024, another \$90 million in 1H25, and about \$305 million for full-year 2025. This reflects meaningful execution against the 2025 target of \$290 million, but it is still not enough to fully offset JetBlue's structural cost challenge.

(2) Income Statement

Revenue

The income statement shows this pressure clearly. For the last 4 years, **JetBlue displayed lack of durable revenue growth after the initial post-COVID recovery**. JetBlue's quarterly revenue pattern is **seasonal, with Q2 generally stronger because of travel demand and Q1 generally weaker**. That seasonality by itself is not a problem. Annual operating revenue increased from \$9.16 billion in 2022 to \$9.62 billion in 2023 but then declined to \$9.28 billion in 2024 and \$9.06 billion in 2025. That is +5.0% in 2023, followed by -3.5% in 2024 and -2.3% in 2025. In other words, JetBlue's recovery plateaued and then reversed. This is particularly damaging for an airline because the company cannot easily flex down aircraft ownership cost, labor, airport rent, maintenance infrastructure, and depreciation when revenue softens. For instance, FY2025 revenue is essentially flat versus FY2022 despite a larger asset base, which signals reduced asset productivity. An airline can survive thin margins if capacity produces consistently higher revenue, but JetBlue is carrying more aircraft-related assets without producing proportionate incremental sales.

Revenue mix also matters. Passenger revenue is the core flying business, while other revenue includes loyalty-related and travel-product revenue. JetBlue's accounting policy defers ticket sales and related ancillary fees in air traffic liability, and passenger revenue is recognized only when transportation is provided. The air traffic liability also includes tickets sold but not yet flown, credits for future travel, and a portion of the TrueBlue loyalty liability. This means the reported revenue number is partly shaped by timing: cash may be collected before the flight occurs, and some loyalty economics may be deferred or recognized outside passenger revenue. For this reason, the key question is whether the core flying business is improving, not whether loyalty and other revenue are partially cushioning the top line.

Net income

Net margin remained negative across the period (recording net losses in 13 of 16 quarters, -4.0% in 2022, -3.2% in 2023, -8.6% in 2024, and -6.6% in 2025), indicating that the revenue base is not strong enough to absorb JetBlue's fixed and semi-fixed cost structure. Net income and revenue directionally move together, but the magnitude of net income movement is much larger. That is operating leverage: aircraft ownership costs, labor, airport rents, maintenance infrastructure, and depreciation do not fall quickly when passenger demand weakens. The company is not selling inventory like Walmart; it is operating a fixed network with expensive aircraft and labor. When revenue is slightly weak, the earnings impact is disproportionate. Importantly, net margin trajectory is worse than operating margin trajectory because ~\$200 million of incremental annual interest expense from

August 2024 financing flows below the operating line.

The fuel line initially looks more favorable (4Q23 average fuel price \$3.08/gal, 2Q24 \$2.87/gal, 1Q25 \$2.57/gal, 2Q25 \$2.40/gal, 3Q25 \$2.49/gal). Aircraft fuel as a percentage of revenue declined from 33.9% in 2022 to 28.3% in 2023, 25.3% in 2024, and 22.7% in 2025. That should have helped margins. The fact that quarterly losses persisted despite lower fuel burden is a negative signal. It suggests that JetBlue's problem is not only fuel price volatility. **CASM ex-fuel** is the cleaner diagnostic (4Q23 +7.6% YoY, 1Q24 +7.1%, 2Q24 +3.7%, 4Q24 +11.0%, 1Q25 +8.3%, 2Q25 +6.0%, 3Q25 +3.7%, 4Q25 +6.7%). Underlying unit-cost inflation has been continuing and only partially decelerating. JetForward is buying margin back at the unit-cost line but not fast enough to offset yield pressure. The more persistent issue is controllable cost and asset productivity. Salaries, wages and benefits have moved structurally higher, maintenance materials and repairs have increased, and depreciation continues to rise as flight equipment expands. In 2025Q3, revenue declined only 1.4% QoQ, from \$2.356 billion in Q2 to \$2.322 billion in Q3. However, net loss widened from \$(74) million to \$(143) million, meaning the loss nearly doubled, or deteriorated by approximately 93% relative to the prior-quarter loss. That is a demonstration of JetBlue's **fixed-cost leverage**: a small revenue decline creates a much larger bottom-line deterioration because the company carries a large fixed-cost base.

Q1 2024 figure must be separated from the recurring trend. On March 1, 2024, JetBlue terminated its merger agreement with Spirit and recorded in 1Q 2024: (i) a \$69 million breakup fee, (ii) write-off of \$425 million cumulative prepayments to Spirit shareholders (including \$22M paid in 2024), (iii) a \$25 million reimbursement payment for Frontier transaction costs, and (iv) a \$134 million valuation allowance on the tax impact of Spirit transaction costs. Special items totaled \$562 million in 1Q24 vs. \$112 million in 1Q23. The quarter has a **big-bath-like appearance**, coinciding with a new CEO transition (Joanna Geraghty). However, the largest Spirit-related charges were not purely discretionary; they were largely mechanical consequences of terminating the Spirit merger agreement, including the write-off of prepayments and breakup-related costs. Reported net income was heavily distorted by Spirit-related items and should not be interpreted as a normal operating quarter. The right interpretation is that Q1 2024 was a failed-M&A cleanup quarter: operating weakness existed, but the reported loss also reflected a strategic reversal. If we treat Q1 2024 as purely operating deterioration, we overstate the recurring earnings weakness; if we remove it completely, we understate management's strategic execution risk. Our conclusion is that JetBlue suffered both operating weakness and value destruction from a failed acquisition attempt.

One additional adjustment is necessary: 2025 operating expenses were helped by aircraft transaction gains (non-recurring fleet-disposal gains). JetBlue's E190 fleet transition generated a **\$32 million net gain** in FY2025, included in other operating expenses, and Q3 2025 alone included a **\$24 million net gain** from selling 12 E190 airframes and 20 engines. Apparent improvement in other operating expenses is therefore not purely recurring cost discipline. This is a portion that reflects non-recurring transition gains concentrated in 2025 quarters.

(3) Cash Flow Statement

CFO

The key question is whether income turns into cash. In JetBlue's case, net income and CFO do not line up cleanly. Some quarters show negative net income but positive operating cash flow. This is not automatically good or bad; it reflects airline accounting. Since cash is collected before transportation is provided, changes in air traffic liability create timing differences between revenue, net income, and cash flow. In addition, depreciation, aircraft-related non-cash charges, deferred taxes, and special items can further widen the gap between net income and CFO.

There is a recurring seasonal pattern in working capital. Q1 tends to show negative changes in operating capital because prior-period ticket liabilities and accrued expenses unwind as flights are taken and payments are made. In later quarters, especially ahead of stronger travel periods, new bookings, payables, and operating accruals can support CFO. Therefore, a negative Q1 working-capital movement is not automatically a red flag. The red flag is that over time CFO has deteriorated even after considering these normal seasonal mechanics. By 4Q25, JetBlue's

quarterly CFO was insufficient to fund quarterly capex, requiring asset sales (E190 disposals) and the prior-year debt issuance to bridge the gap.

FCF (CFO – Capex)

JetBlue continues to spend heavily on productive assets. Based on the quarterly table, productive asset purchases remain material in every year, and capex is generally above depreciation. That means JetBlue is not simply harvesting the business or starving the fleet. The company is still investing in aircraft and related assets. However, this is not necessarily positive. If capex remains elevated while revenue is flat or declining, then JetBlue is adding or maintaining asset capacity without earning an adequate return on those assets. Structurally, in the airline industry, asset base is economically necessary, but the key issue is whether that asset base is being replaced and used profitably. For JetBlue, the problem is not underinvestment but poor asset productivity.

(4) Balance Sheet

Assets

Property and equipment and flight equipment have continued to rise as a share of quarterly revenue. This is the most damaging pattern in the analysis: revenue is flat to down, but aircraft-related assets are not falling. Thus, asset turnover is deteriorating. More assets are being deployed for less revenue. This is worse than a simple margin problem because it means JetBlue's asset base is becoming less productive. If an airline adds aircraft or keeps a large fleet while demand and yield are weak, depreciation, lease cost, maintenance, and financing cost remain locked in. Compounding these pressures is the Pratt & Whitney GTF engine issue. A meaningful share of the GTF-powered A220/A321neo fleet has been grounded for shop visits taking approximately 360 days each on a per-engine basis, depressing aircraft utilization on a quarter-by-quarter basis. Pratt has provided partial compensation, but the net effect on quarterly utilization and effective unit costs is negative.

Liabilities

The debt side is material in analyzing the balance sheet. The 3Q24 step-up in long-term debt and finance lease obligations is directly tied to the August 2024 financing package. JetBlue raised \$2.76 billion of Loyalty Financings secured by TrueBlue program collateral during 3Q24: (i) \$2.0 billion of 9.875% senior secured notes due 2031, and (ii) a \$765 million senior secured Term Loan B due 2029, bearing Term SOFR plus an applicable margin (subject to a SOFR floor) and amortizing quarterly from December 2024. Concurrently in 3Q24, JetBlue issued \$400 million of 2.50% convertible senior notes due 2029 on August 16, 2024, plus an additional \$60 million from the fully exercised over-allotment option = \$460 million total, with proceeds used to repurchase a portion of existing 0.50% convertible notes due 2026, which is effectively a maturity-extension trade at a sharply higher coupon. **Coupon level signals stressed primary-market access.** 9.875% is deep high-yield territory. Annualized interest on the secured notes alone is ~\$197M, beginning to flow through the P&L from 4Q24 onward and explaining most of the gap between operating loss and net loss in subsequent quarters. Also, the TrueBlue collateral package carved out one of JetBlue's **most valuable unencumbered intangibles** in 3Q24, constraining future secured-financing capacity in subsequent quarters. Furthermore, 4Q23 liquidity was \$1.7 billion, 4Q24 jumped to \$3.9 billion post-financing, 1Q25 \$3.8 billion, 3Q25 \$2.9 billion (excluding \$600 million revolver), 4Q25 \$2.5 billion. Liquidity has been drawn down by ~\$1.4 billion from peak in roughly four quarters, indicating the 2024 financing is functioning as a turnaround bridge rather than a permanent capitalization.

The prepaid and other current asset increase in 2025 is another hidden item. At first glance, prepaid assets rising sharply might look like ordinary prepaid expenses. But JetBlue disclosed that the increase in prepaid expenses and other was due to assets held for sale, primarily permanently parked Embraer E190 airframes, engines, related spare parts, and other spare engines expected to sell within one year (component reportedly \$138 million at year-end 2025 vs. \$33 million at year-end 2024). This is a quarterly liquidity-supportive but non-recurring item.

SkyWest (Quarterly Analysis)

(1) Business Model

SkyWest is primarily a regional contract carrier that operates flights on behalf of United, Delta, American, and Alaska under capacity purchase agreements (CPAs). We can say that it is an **outsourced regional airline production platform for major carriers**. Its revenue economics are not $ASM \times \text{load factor} \times \text{yield}$; they are contracted aircraft $\times$ block-hour $\times$ CPA rate. Thus, the revenue is less dependent on ticket prices and passenger load factors, and more dependent on contracted aircraft, block-hour production, aircraft utilization, and capacity purchase agreement economics. It reports two segments: SkyWest Airlines/SWC (the operating airline) and SkyWest Leasing (aircraft ownership and financing economics, including revenue, depreciation, and interest expense related to aircraft placed under CPA arrangements). Under CPAs, SkyWest generally earns fixed or formula-based compensation per departure, flight hour, block hour, and aircraft in service, while major airline partners directly pay or reimburse certain direct costs such as fuel, landing fees, and airport rents. This structurally removes fuel and passenger-yield risk and shifts the risk to **utilization, captain availability, maintenance cost, contract pricing, and partner concentration**.

(2) Income Statement

Revenue

The income statement shows a cleaner V-shape recovery than JetBlue. Revenue was \$3.0 billion in 2022, declined to \$2.935 billion in 2023, then recovered sharply to \$3.5 billion in 2024 and \$4.1 billion in 2025. That translates to approximately +10.7% growth in 2022, -2.3% in 2023, +20.2% in 2024, and +15.0% in 2025. The quarterly pattern is somewhat cyclical, but the volatility is lower than JetBlue's because SkyWest does not directly carry passenger pricing and load-factor risk.

The key question is why revenue declined in 2023. It was not a demand collapse but a production constraint, especially pilot and captain availability. 1Q23 block hours fell ~11% to 276,000 from ~311,000 in 1Q22; 1Q23 SkyWest recognizing \$63 million of deferred revenue (vs. recognizing \$11 million of previously deferred revenue in 1Q22); 2Q23 deferred \$60 million (vs. recognizing \$16 million in 2Q22); 3Q23 deferred \$57 million (vs. recognizing \$13 million in 3Q22). The deferral mechanic is that SkyWest receives fixed monthly cash payments from CPA partners but recognizes revenue based on block hours actually flown. So when production falls below contractual minimums, cash is collected and revenue is deferred.

The reverse leg appeared in 2024 and 2025. SkyWest's filings show that improved captain availability increased block-hour production. In Q1 2024, block-hour production increased 4.9% YoY, from 276,241 to 289,801, mainly because available captains improved. Thus, SkyWest recognized \$0.4 million of previously deferred fixed-payment revenue, compared with deferring \$42.6 million in 1Q 2023. By 1H 2024, the effect was larger: first-half 2024 block hours increased 8.7% YoY, and SkyWest recognized \$5.4 million of previously deferred revenue, compared with deferring \$83.4 million in 1H 2023. In 3Q 2025, SkyWest Airlines/SWC block-hour production increased 14.9% YoY, from 334,459 to 384,247, driven by additional aircraft operating under CPAs and more available captains. The cumulative deferred-revenue waterfall now flows in SkyWest's favor across 2025 quarters, which is a tailwind not visible in headline revenue.

Net Income

Net income confirms the same V-shaped pattern. SkyWest earned \$73 million in 2022, \$34 million in 2023, \$323 million in 2024, and \$428 million in 2025. The 2023 decline was significant: a 2.3% revenue decline reduced net income by more than half. That shows the operating leverage in CPA economics. Labor, maintenance, depreciation, and aircraft financing costs do not fall immediately when block hours decline. When captain availability limited production in 2023, fixed-cost absorption deteriorated. When utilization recovered in 2024 and 2025, operating leverage worked in the opposite direction and accelerated profitability. But the **2025 plateau** (1Q \$101 million →

2Q \$120 million → 3Q \$116 million → 4Q \$91 million) may signal that the V-shape recovery has run its course.

SkyWest's main pressure points are labor and maintenance. Because fuel risk is mostly borne by the mainline partners under CPAs, fuel is not the same margin driver that it is for JetBlue. Instead, SkyWest's binding cost lines are **pilot/mechanic labor, CRJ maintenance, and depreciation/financing on its owned fleet. In 2025, this cost pressure became visible.** 1Q 2025 aircraft maintenance expense recorded \$209.1 million (+43.8% YoY; the first quarter showing the new run-rate), driven by incremental CRJ fleet maintenance, higher flight volume, and third-party maintenance service activity. In 2Q 2025, SkyWest Airlines/SWC salaries, wages, and benefits increased \$35.2 million, or 9.9% YoY because higher flight volume required more direct labor (vs. Maintenance, materials, and repairs +23.4% YoY). In 3Q 2025, maintenance pressure was even more visible: maintenance \$63.0 million, or 36.3% YoY, again because of incremental CRJ fleet maintenance and higher flight volume. FY2025 aircraft maintenance recorded \$944 million (+32% / +\$231.1 million YoY), indicating that maintenance grew at 2x the revenue growth rate of 15%. **SkyWest's CRJ fleet averages 16-23 years old**, so heavy-check maintenance intensity rises mechanically. Unlike fuel, this cost is not pass-through. SkyWest absorbs it within CPA rates that were negotiated when the fleet was younger. Thus, although the company is getting more revenue from higher block-hour production, it is also spending it faster on maintenance.

One accounting nuance is that SkyWest's 2025 margin benefited from lower depreciation. Certain fixed assets became fully depreciated, and SkyWest extended the estimated useful lives of the CRJ700/CRJ550 fleet by ~3 years and revised residual values. The 2025 D&A of \$364 million (vs. \$384 million in 2024) reflects this. Therefore, the apparent margin improvement in 2025 should be partially attributed to **depreciation timing**, not just block-hour leverage. We should also note the 3Q 2025 revenue mix: contract (CPA) \$844 million, prorate & charter \$167 million (+36% YoY from \$123 million in 3Q24), leasing & other \$39 million. The prorate / charter component, where SkyWest carries some yield and load-factor risk, is the fastest-growing line. This is incrementally positive for revenue diversification but slightly dilutes the "100% CPA pass-through" thesis relative to historical periods.

In terms of item lines, on the consolidated income statement, interest expense is nonoperating. But SkyWest includes interest expense in segment profit because the interest cost relates directly to aircraft financing under CPA aircraft ownership arrangements, and the CPA economics are designed to compensate SkyWest for aircraft ownership costs, including interest expense. When comparing SkyWest with JetBlue or United, segment profit margin is the appropriate metric, not consolidated operating margin alone.

(3) Cash Flow Statement

CFO

The key question is whether earnings turn into cash. For SkyWest, CFO was positive in every quarter across the 16-quarter panel. But CFO/net income ratio in 2023 was elevated not because of earnings quality alone but because (a) Net income was depressed by production constraints, (b) depreciation and other non-cash add-backs remained large because SkyWest owns and finances a large aircraft asset base, and (c) deferred-revenue mechanics created a CFO-NI gap (cash collected > revenue recognized when production was below contract).

FCF (CFO – Capex)

Free cash flow is positive but more nuanced than the headline CFO suggests. Capex was \$662 million in 2022, \$264 million in 2023, \$439 million in 2024, and \$549 million in 2025. D&A was \$395 million, \$383 million, \$384 million, and \$365 million over the same period. Therefore, capex/D&A was 1.68x in 2022, 0.69x in 2023, 1.14x in 2024, and 1.51x in 2025. 2023 and 2024 free cash flow benefited from a capex lull, while 2025 showed renewed aircraft investment and the capex cycle turning upward.

FCF was negative in 2022 at approximately \$(182) million, then positive at \$472 million in 2023, \$253 million in 2024, and \$391 million in 2025. In 2025, FCF was positive in the first three quarters. \$52 million in Q1, \$118

million in Q2, and \$225 million in Q3. But FCF turned negative at \$(4) million in Q4 because productive-asset purchases spiked to about \$235 million that quarter. The question is whether these aircraft generate incremental block-hour production and contract returns above the financing cost. At this moment, the view seems constructive because capex acceleration is **contract-backed** rather than speculative. The company took delivery of five new E175 aircraft in Q4 2025 under a previously announced United agreement, and in January 2026 announced multi-year contract extensions covering 40 E175 aircraft with United and 13 E175 aircraft with Delta. This materially improves **revenue visibility** because a large portion of the aircraft pipeline is tied to existing major-airline CPA relationships. SkyWest also disclosed an anticipated E175 delivery schedule of 9 aircraft in 2026, 10 in 2027, 10 in 2028, and 40 thereafter, with management expecting nearly 300 E175 aircraft in its fleet by the end of 2028.

CFF

Payroll Support Program restrictions on dividends and repurchases expired September 30, 2022. But SkyWest still has not committed to dividends post-restriction. FY2025 share repurchase was ~850,000 shares for \$85 million (doubled from 2024) with \$213 million remaining authorization at YE25 after \$250 million increase approved May 6, 2025. For 3Q25 alone, \$112 million debt was repaid, and a \$27 million buyback (244,000 shares) was executed. The pattern is seemingly a conservative capital return of buybacks within FCF, no dividend, and debt actively repaid.

(4) Balance Sheet

Assets

SkyWest remains aircraft-heavy. PP&E stayed large and broadly stable: approximately \$5.53 billion in 1Q 2022, \$5.48 billion in 4Q 2023, \$5.59 billion in 4Q 2024, and \$5.84 billion in 4Q 2025. The 2023 lease-structure inflection (sharp decline in operating lease liabilities in 1Q23) is best interpreted as fleet lease-structure events. SkyWest disclosed accelerated lease expense related to certain leased CRJ aircraft stored before lease expiration, plus 32 CRJ early lease buyouts (acquired in 1Q23 for ~\$125 million, the estimated fair value of acquired aircraft and engines), which will reduce aircraft rent expense going forward.

SkyWest's 4Q 2025 liquidity of \$707 million (cash and cash equivalents + current marketable securities) is smaller than United (\$12.2 billion at 3Q25) or JetBlue (\$2.2 billion at 4Q 2025), but the operative metric is different. SkyWest does not need a liquidity bridge for operating burn. The company has been cash-generative across the last 4 years, so the cash balance rather functions as capex working capital and capital-return buffer.

Liabilities

Debt declined steadily after 2022. Total debt was about \$3.20 billion in 1Q 2022, peaked near \$3.41 billion in 3Q 2022, declined to \$3.01 billion by 4Q 2023, and declined to \$2.39B by 4Q 2025 (\$492 million debt repaid in 2025). Meanwhile, equity increased to \$2.75B year-end of FY 2025, reducing debt/equity to roughly 0.87x from 1.40x in 1Q 2022. In this aspect, SkyWest's management appears to be de-risking the capital structure and actively repaying debt while it is re-entering a new capex cycle. This seems to be the favorable version of the investment story: aircraft investment increases operating risk, but the company is not funding that risk through rising leverage.

United Airlines (Quarterly Analysis)

(1) Business Model

United Airlines is a global network airline that earns money by using its aircraft fleet, hub airports, route rights, crews, and loyalty ecosystem through air transportation at scale. Its core business is transporting passengers across domestic and international routes, so its core economics are passenger-driven ($ASM \times \text{load factor} \times \text{yield}$). But unlike JetBlue, United has a much broader revenue base: domestic mainline, international long-haul, cargo, premium cabins, United Express regional feed, and MileagePlus/partner revenue. This diversification matters because United can absorb single-market weakness better than JetBlue, but it also carries the fixed-cost burden of a large global network. The question is whether the diversified revenue base produces enough operating leverage to absorb that base across the cycle.

(2) Income Statement

Revenue

The income statement shows a strong post-COVID recovery followed by normalization. Quarterly revenue grew from \$7.6 billion in 1Q 2022 (+134.9% YoY off pandemic base) to \$15.4 billion in 4Q 2025 (+4.8% YoY), recording a +103.5% expansion across the 16-quarter panel. The annual growth rate, however, slowed materially: revenue increased 19.5% in 2023, then 6.2% in 2024 and 3.5% in 2025. This means United is no longer in the explosive recovery stage; it has moved into a more mature growth phase. Unit revenue (TRASM) is increasingly the binding constraint. 3Q25 TRASM declined 4.3% YoY despite +7.2% capacity growth, and 4Q25 consolidated TRASM declined 1.6% on +6.5% capacity. The quarterly pattern is seasonal like JetBlue: Q1 remains United's seasonally weakest quarter, while Q2 and Q3 normally benefit from higher travel demand than Q1 and Q4.

In addition, premium cabin trajectory shows that United has revenue depth that JetBlue does not. In 4Q 2025, premium cabin revenue rose 12% YoY on 7% more capacity, while main cabin revenue rose only 1% on 6% more capacity. The pattern held throughout 2025/ premium grew at low double-digit rates while main cabin grew low single digits. This matters because premium customers are far less sensitive to economic cycles, business travel disruptions, or pricing actions, and they are exactly the customer segment JetBlue cannot meaningfully reach. Beyond premium, United also benefits from MileagePlus and from cargo revenue, neither of which JetBlue has at comparable scale.

Net income

Net income shows that United became more profitable even as revenue growth slowed. United generated profits in 13 of 16 quarters across 2022 to 2025, with losses concentrated in 1Q 2022 (-\$1,377 million), 1Q 2023 (-\$194 million), and 1Q 2024 (-\$124 million). United's net margin improved from deeply negative in 1Q 2022 (-18.2%) to consistently positive in most quarters after 2022. The important improvement is that **United made Q1 profitable in 2025**: Q1 2025 net income was **\$387 million**, compared with losses in Q1 2022, Q1 2023, and Q1 2024. That may suggest United's fixed-cost base is now being absorbed even in the seasonally weakest quarter.

The reason net margin improved despite slower revenue growth is because of **operating leverage** and cost normalization. In a legacy airline, once revenue recovers above the fixed-cost base, incremental revenue can flow strongly to operating income. Aircraft ownership, airport infrastructure, route network, systems, and labor scheduling create a large fixed/semi-fixed cost base. In 2022, United was still absorbing this cost base with depressed demand. By 2023–2025, revenue had recovered enough that the fixed-cost burden was spread across a larger sales base.

To further analyze this, we will look into the operating income trend. Operating income rose from a loss of \$1.4 billion in 1Q 2022 to a peak of \$1.9 billion in 2Q 2024, then stabilized around \$1.3–\$1.4 billion per quarter in 2025. The move from 1Q to 2Q of 2024 clearly demonstrates the operating leverage. Revenue rose from \$12.5

billion to \$15.0 billion, an increase of roughly \$2.4 billion, while operating income rose from \$99 million to \$1.9 billion, an increase of \$1.8 billion. Roughly three quarters of the incremental revenue dropped through to operating income in a single quarter. That is what operating leverage looks like in a capital-intensive airline. The same pattern played out in 2025 but was much weaker: a \$2.0 billion sequential revenue increase produced only \$0.7 billion of incremental operating income. But the reason 2025 operating income declined from the 2024 peak despite higher revenue is not primarily fading demand. It is the **labor cost step-up** that flowed through after the pilot contract ratified in 2023. Salaries and related costs rose roughly 13% YoY in 1Q 2025, reflecting that both retroactive pay and headcount growth, and the increase compressed margins faster than higher revenue could lift them. There is also a one-time consideration in 1Q 2024: United had to ground its 79 Boeing 737 MAX 9 aircraft for about three weeks following the Alaska Airlines door-plug incident in early January, and that grounding depressed first-quarter results in a way that should not be confused with normal seasonality.

The reason **fuel** expense does not move one-for-one with revenue is because while revenue is a function of capacity, load factor, and ticket price, fuel is a function of how many gallons the airline burns and what those gallons cost. Yield gains lift revenue without lifting fuel at all, since the same aircraft on the same route burns the same fuel regardless of what the seats sold for. Likewise, fuel price per gallon is an external commodity variable that the airline does not control.

But more important about fuel expenses is that United explicitly does not hedge its fuel consumption. Its purchase contracts are indexed to market benchmarks and do not protect against price moves. That meant the relatively favorable fuel environment of 2025, with average prices around \$2.43 to \$2.53 per gallon, flowed directly through to margins as a tailwind. But it also means **the airline is fully exposed when the environment reverses**, and that is exactly what happened in 2026. Following the U.S. and Israel attacks on Iran in late February, jet fuel prices in the U.S. roughly doubled, and United's guidance for the second quarter of 2026 assumes fuel at around \$4.30 per gallon. Management has warned that fares will catch up to higher fuel costs only gradually, recovering 40 to 50 percent of the price increase in the second quarter, 70 to 80% in the third, and 85 to 100% by the fourth. Full-year 2026 adjusted earnings guidance was cut to a range of \$7 to \$11 per share from a prior range of \$12 to \$14, a meaningful reset. Costs rise immediately when fuel spikes, while fares take quarters to catch up. Even when underlying demand is healthy, this kind of mismatch can produce sharp margin compression in the near term.

(3) Cash Flow Statement

CFO

Again, the key question is whether earnings turn into cash. However, Operating Cash Flow (CFO) does not always track net income quarter by quarter because of the airline business model. United sells tickets before passengers fly. The company initially records ticket sales as an advance ticket sales liability and recognizes revenue only when travel occurs. Advance ticket sales represent the company's obligation to provide future air transportation, and all tickets sold at a point in time generally relate to travel dates within the next twelve months.

This explains why Q1 CFO can be extremely strong even when Q1 net income is weak. Q1 is when customers book spring and summer travel, so cash comes in before the revenue is recognized. In 1Q 2024, United reported only a \$124 million net loss but generated \$2.8 billion of OCF. In 1Q 2025, OCF reached \$3.7 billion, higher than 2Q 2025, even though Q2 generated higher net income. This is not a roach-principle warning but rather a normal cash-in-advance structure of a large airline. That said, the working-capital pattern should still be watched to see whether the advance ticket liability builds up without follow-through in revenue. If advance ticket sales rise while future revenue does not follow, that would be a red flag. But in United's case, the spring bookings have consistently translated into strong 2Q and 3Q revenue. The same logic applies to accounts receivable. The recurring 1Q increase in A/R is not necessarily evidence of pulling revenue forward. For a global airline, receivables include credit card settlements, corporate travel, interline billings, cargo, MileagePlus partner activity, and other airline-related settlements. Because United also separately records advance ticket sales as a liability, a 1Q increase in receivables should not be interpreted as "booking revenue without cash" unless receivable growth materially exceeds revenue and cash collections weaken.

FCF (CFO – Capex)

Free cash flow is more nuanced. United consistently generates strong OCF, Capex has been heavy because United is in the middle of a fleet renewal program. In particular, quarterly FCF is often **negative in the fourth quarter** when aircraft deliveries and pre-delivery deposits cluster. In airlines, capex timing is driven by delivery schedules, aircraft purchase contracts, engine/spare parts payments, and pre-delivery deposits.

A good airline should reinvest in productive assets. The issue is whether CFO can fund capex while debt declines. United's CFS shows that the answer is broadly yes: it generated substantial OCF while financing cash flow was negative every year, meaning it was repaying debt rather than increasing borrowing. United repaid long-term debt consistently, including large repayments in 2024 and 2025. For instance, United generated \$8.4 billion of operating cash flow and \$2.7 billion of FCF (adjusted FCF per press release; more conservative as it includes debt-financed aircraft) for FY 2025, ending the year with total debt and finance lease obligations of \$25 billion and net leverage of 2.2x, an improvement from 2.4x at the end of 2024. The airline also returned \$640 million to shareholders through share buybacks during the year. Thus, United is funding fleet investment, repaying pandemic-era debt, and returning capital to shareholders simultaneously, all out of OCF. That is the higher-quality version of capital intensity, and it stands in contrast to JetBlue, which has had to rely on high-cost secured borrowing to fund its operations.

(4) Balance Sheet

Assets

The balance sheet confirms the recovery. While equity increased and leverage declined, United's total assets increased from \$69.0 billion in 1Q 2022 to \$76.4 billion in 4Q 2025, showing moderate expansion driven by fleet investment under the United Next program. The decline in cash and short-term investments in 2025 should not be treated as an immediate bad signal. United's cash and cash equivalents fell from very high post-COVID levels, falling from 26.8% of total assets in 1Q 2022 to 7.8% of total assets in 4Q 2025. But the decline reflects redeployment of excess pandemic-era cash into debt repayment, capex, and shareholder returns rather than financial distress. Current and quick ratios are falling, so United has less cash cushion than it did in 2022. But lower liquidity is not automatically bad if OCF remains strong and refinancing access remains available. The more relevant measure of cushion is total liquidity, which has been held in the \$15 to \$19 billion across recent quarters (\$17.4 billion at 4Q 2024, \$15.2 billion at 4Q 2025). To put that in context, JetBlue's 4Q 2025 liquidity was merely \$2.5 billion. United has roughly six to seven times the cushion, which is what allows it to absorb shocks like the 2026 fuel spike without running into significant financing distress.

Liabilities

But the more important change is the shift from debt-funded recovery to equity rebuilding. Stockholders' equity increased from \$3.6 billion in 1Q 2022 to \$15.3 billion in 4Q 2025. Total liabilities declined from \$65.4 billion to \$61.2 billion over the same period. This trend shows that the cumulative \$8.9 billion of net income across the period flowed into retained earnings while the airline repaid debt at the same time. Long-term debt and finance lease obligations declined from a peak of \$31.4 billion in 2021 to \$25.2 billion at 4Q 2024. Lower leverage shows up in the income statement as well, with interest expense falling roughly 22 percent YoY in 1Q 2025, contributing to the gap between operating margin (which compressed slightly in 2025) and net margin (which still expanded). The capital allocation signal completes the picture. United resumed share repurchases in 2024 and continued buying back stock through 2025, including in the fourth quarter. Returning capital to shareholders while still funding the fleet renewal program can signal that management views the company as past the rebuild phase and entering normalization.

Conclusion

(1) Financial Analysis Summary

United is a high-quality recovery story, but no longer a high-growth recovery story. The income statement shows a clear post-COVID recovery, but revenue growth has slowed from rebound-level rates to mature single-digit growth, meaning future earnings depend more on margin discipline than demand normalization. Q1 weakness is largely seasonal, and strong Q1 operating cash flow is explained by advance ticket sales rather than earnings manipulation, but that cash flow ultimately depends on future travel demand converting into flown revenue. Fuel remains a major uncontrollable risk because United does not materially hedge expected fuel consumption, and labor costs have reset higher after the 2023 ALPA agreement (1Q25 salaries +13% YoY). The cash flow statement is strong, with FY2025 OCF of \$8.4 billion supporting fleet investment, \$640 million of share repurchases, and net leverage improvement from 2.4x to 2.2x simultaneously. The balance sheet has improved materially: cumulative net income of approximately \$8.9 billion across the 16-quarter panel rebuilt equity from \$3.6 billion to \$15.3 billion, while liquidity has held in a \$15-19 billion range, roughly six to seven times JetBlue's cushion. The main risks are fuel volatility (most acute in 2026), labor inflation already reflected in 2025 margins, capex intensity through the United Next program, and the lower liquidity cushion after intentional debt repayment.

JetBlue's income statement shows weak operating profitability even though fuel has become a tailwind. The cash flow statement shows that operating cash generation has become unreliable, and free cash flow is being consumed by aircraft-related investment that the airline cannot easily defer. The balance sheet shows rising asset intensity (asset turnover declined from 0.68x in FY2022 to 0.54x in FY2025), high-cost secured financing (9.875% TrueBlue notes generating ~\$200 million of incremental annual interest expense), loyalty collateralization, and shrinking financial flexibility (liquidity drawn down from \$3.9 billion at 4Q24 peak to \$2.5 billion at 4Q25). Management's JetForward program, fleet simplification, and TrueBlue/Paisly monetization could help at the margin, but the gains are being absorbed by the elevated interest burden the company took on to bridge its turnaround. The core problem persists: the airline's fixed-cost base and asset base are too large relative to its revenue-generating power, evidenced by FY2025 ROA of -0.82% and ROE of -25.33%.

SkyWest's income statement shows a contract-backed recovery rather than a demand-driven rebound. The 2023 weakness reflected a production bottleneck from captain availability, not a demand collapse, and once utilization recovered, margins expanded sharply under the CPA arrangements with major airline partners. The cash flow statement supports the quality of the recovery: operating cash flow remained positive in every quarter, and even with capex re-accelerating in 2025, full-year free cash flow stayed firmly positive. The balance sheet shows the most disciplined improvement of the three carriers. SkyWest increased aircraft investment while reducing total debt by \$492 million in 2025 alone (from \$2.7 billion to \$2.4 billion), rebuilding equity, and improving debt/equity from 1.40x to 0.87x, which is the favorable version of the asset-heavy airline model. SkyWest is reinvesting in productive assets without stretching the balance sheet, which is reflected in the lowest equity multiplier (2.80x) and highest net margin (10.55%) of the three carriers. The key risks are maintenance inflation (FY2025 maintenance expense rose 32% / +\$231 million YoY against 15% revenue growth, driven by an aging CRJ fleet at 16-23 years average), pilot availability and labor cost pressure, partner concentration with the four major airlines, and whether new E175 deliveries produce enough incremental block-hour growth to justify the higher capex cycle.

(2) Investment Recommendations and Future Prospects

United (Buy). Over the past four years, United has rebuilt itself from a pandemic-shaken balance sheet into one of the most diversified earnings profiles in U.S. aviation. The premium cabin grew roughly 12 times faster than the main cabin (4Q 2025 premium +12% vs main +1%), and United has fully repaid the pandemic-era debt secured by MileagePlus assets. Also, the first quarter has structurally turned profitable for the first time since the pandemic. These are meaningful signs that the fixed-cost base is finally being absorbed even in the seasonally weakest part of the year. The risk worth flagging is the 2026 fuel shock following the Iran war, which has forced management to cut full-year earnings guidance by roughly a third and to assume that fares will only catch up to higher fuel costs gradually through the year. But this is a margin issue, not a solvency issue. United has built enough liquidity,

enough premium revenue depth, and enough scale to absorb a fuel cycle the way JetBlue cannot. The thesis is to buy, with the understanding that the next two quarters may look uncomfortable before the fare recovery curve reaches the year-end equilibrium management has guided to.

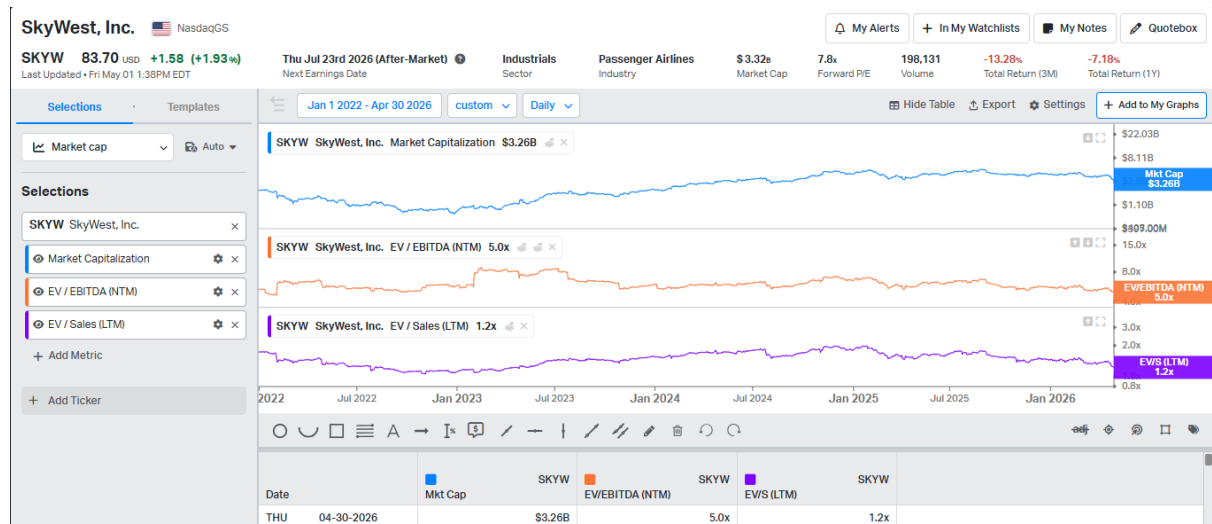
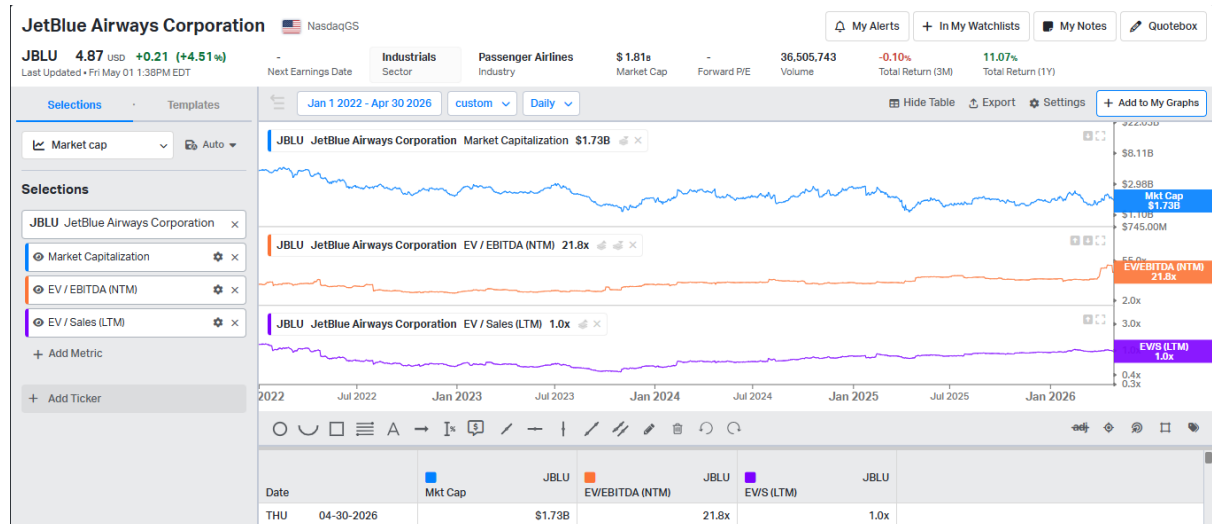
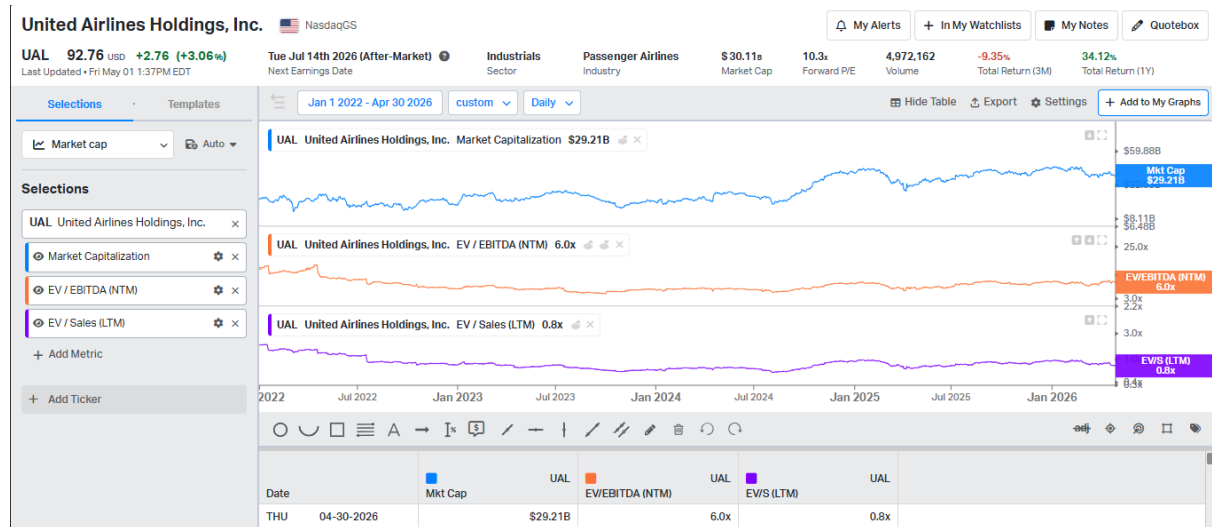
JetBlue (Sell). JetBlue is the opposite story. The airline has now lost money for four consecutive years (2022-2025), and the trajectory does not show convincing improvement. Operating margins have moved in the right direction thanks to the JetForward cost program, but those savings are being absorbed by sharply higher interest expense from the loyalty-backed financing the company was forced to do in the second half of 2024, at a coupon high enough to signal stressed access to capital markets rather than opportunistic borrowing. Liquidity has fallen by roughly 1.5 billion dollars over four quarters, the loyalty program has been pledged as collateral, and the underlying competitive positioning has not changed: JetBlue is still neither cheap enough to compete with Spirit and Frontier nor differentiated enough to compete with United and Delta on premium routes. The Spirit merger that was supposed to give the airline scale was blocked by the courts and cost the company approximately \$650 million in write-offs and breakup fees. Without a fundamental fix to the cost structure or another strategic combination, the math points to continued losses against a shrinking liquidity buffer. The recommendation is to sell.

SkyWest (Buy). SkyWest sits in the most defensible position of the three. Because its major airline partners pay or reimburse the most volatile cost lines such as fuel, landing fees, airport rents, the company faces materially lower earnings volatility than the rest of the industry. When pilot availability collapsed in 2023, revenue and profits fell together, but cash flow held up because cash collections were locked in even when block hours were not flown. When pilots returned in 2024 and 2025, that same operating leverage worked in reverse and earnings rose dramatically. The forward question is different from the other two: not whether the company can survive a downturn, but whether it can manage the rising cost of maintaining an aging CRJ fleet and the renewed capital expenditure cycle as new aircraft are delivered. The encouraging answer is that management has been using cash flow to pay down debt aggressively while still investing in fleet growth, and the new aircraft coming in are all backed by multi-year contracts with major partners that were extended in early 2026. Growth will slow from the post-recovery V-shape rebound, but it slows toward a normal cadence rather than toward distress. The recommendation is to buy on quality, with the recognition that this is a steady compounder rather than a high-upside trade.

Stepping back, the broader takeaway is that the airline industry rewards business models that either control their cost base or transfer it to someone else. United absorbs its asset-heavy cost base through scale, premium mix, and a rebuilt balance sheet. SkyWest transfers it to its airline partners through contracts. JetBlue does neither, and that remains the central problem the company has not yet solved.

Appendix

Stock Price Chart (as of 04/30/26 close)



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AI Usage Disclosure

Numerical extraction from primary filings: Claude was used to locate, extract, and cross-check specific financial line items from the SEC filings listed above. All extracted figures were then verified by the team against the original 10-K, 10-Q source documents cited in this references section.

Proofreading and language editing: Claude and ChatGPT were employed for copyediting purposes to refine sentence structure, improve clarity, and ensure consistency in tone across the document. The analytical framework, the financial interpretations, the choice of which metrics to emphasize, and the final investment recommendations are the independent work of the team.

The team retains full responsibility for the analysis, conclusions, and any remaining errors.